ARIF HABIB LIMITED

REP-300

Pakistan Economy

Status quo upheld

12-Jun-2023

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Monetary Policy Statement

Status quo upheld

In the monetary policy meeting held today (12th Jun'23), the State Bank of Pakistan (SBP) has kept the benchmark policy rate unchanged at 21%, hitting the brakes on its streak of consecutive rate increases since Oct'22. To recall, in the last monetary policy (Apr'23), the SBP had undertaken a hike of 100bps.

Four key observations since the last MPC meeting:

The MPC highlighted the following four developments since the last meeting:

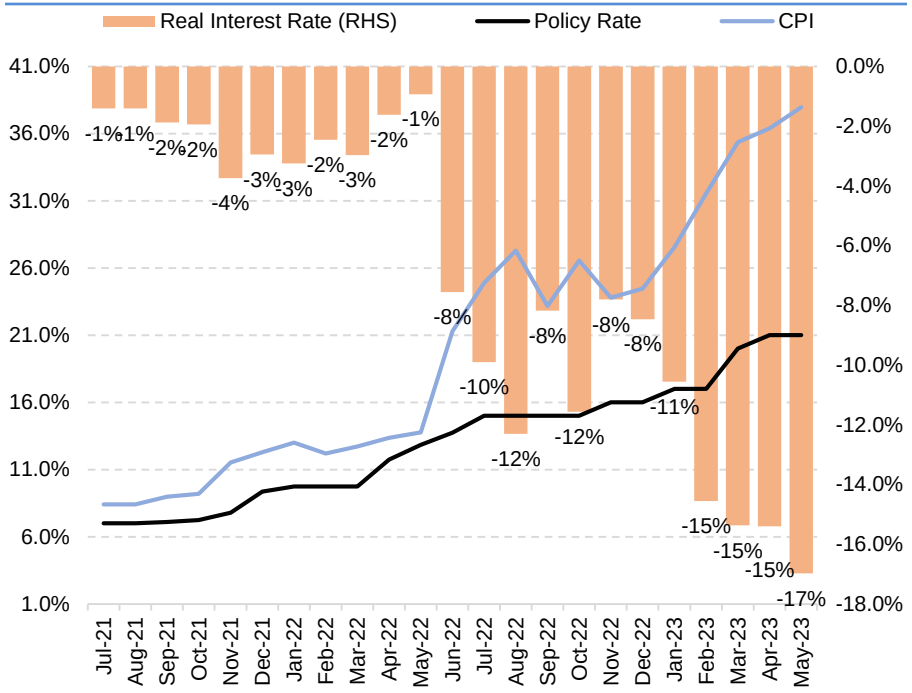
- Firstly, according to recently released provisional National Accounts data, real GDP growth significantly slowed down in FY23.
- Secondly, there were consecutive surpluses in the current account balance in March and April 2023, which alleviated some of the pressures on foreign exchange reserves.
- Thirdly, the government presented the FY24 budget on 9th Jun'23, which outlines a slightly contractionary fiscal approach compared to the revised estimates for FY23.
- Lastly, global commodity prices and financial conditions have recently shown signs of cooling-off and are expected to continue in the near future.

The committee predicts that domestic demand will remain subdued due to a tight monetary policy, domestic uncertainties, and ongoing pressures on the external account. Taking these factors into account, and considering the declining MoM trend, the MPC believes that inflation reached its highest point in May'23 and is anticipated to follow a downward trajectory starting from Jun'23 onwards.

Other observations

- Growth in FY23 clocked-in at 0.29% against last year's 6.1%. This subdued growth was on the back of lower industrial activity due to several adverse domestic and external factors. Moreover, the services sector experienced its slowest growth rate since the COVID-hit FY20.

Exhibit: Policy Rate vs. Inflation



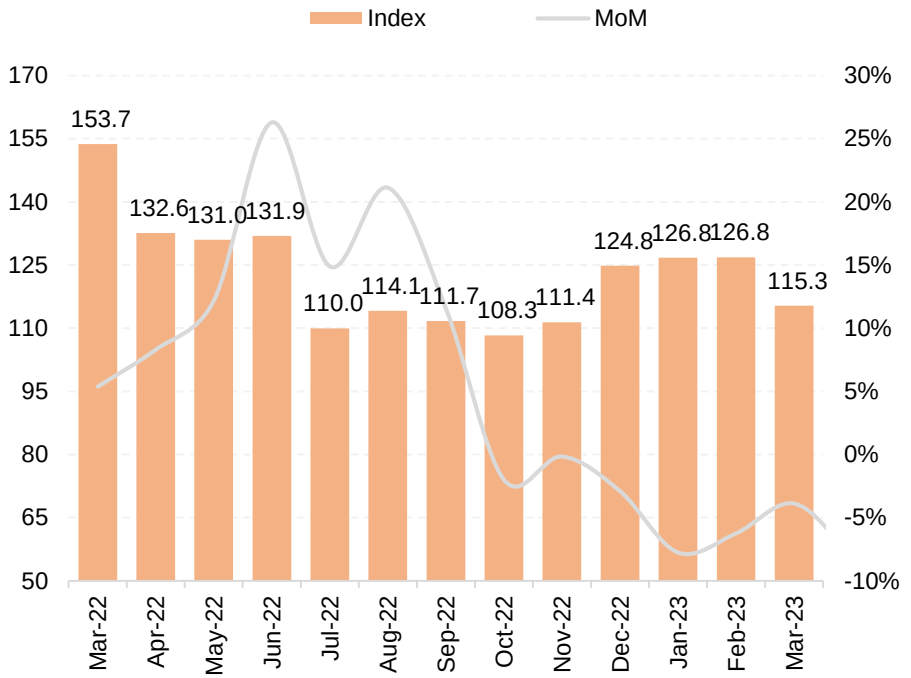
Source (s): SBP, PBS, AHL Research

Monetary Policy Statement

Status quo upheld

- Moreover, on the back of successful sugarcane and wheat harvests, as well as robust growth in the livestock sector, the impact of damages caused by floods to cotton and rice crops were off-set, hence the agriculture sector's growth fared better than post-flood expectations.
- Slowdown was observed in key economic activity indicators with significant decline being witnessed in volumetric sales of automobile, cements and POL products. Moreover, the contraction in LSM accelerated during the course of FY23 and these trends are anticipated to persist in the near term due to the cumulative impact of tight monetary policies.
- On the external front, CAD shrunk to USD 3.3mn during 10MFY23, as it continues to act accordingly to the demand-compression policies and regulatory mix. This reflects the contraction in imports which offset the impact of decline in remittances and exports. Albeit, higher loan repayments relative to disbursements kept the FX position under pressure, despite a lower CAD.
- In the near term MPC views that the current account deficit will remain in check, under the baseline assumptions of a relatively favorable outlook for commodity prices and moderate domestic economic recovery next year.
- Fiscal consolidation has remained encouraging; deficit narrowed to 3.6% of GDP in 9MFY23 against 3.9% in SPLY while the primary balance posted a surplus of 0.6% of GDP against a deficit SPLY.
- Pertinently though, tax revenue has not grown adequately given compressed economic activity and lower imports, whereas debt servicing and year-end increase in developmental spending have increased which are likely to result in an increment in fiscal deficit in the out-going quarter of FY23.
- Based on revised estimates, the fiscal deficit for FY23 is projected to be 7% of GDP, with a primary deficit of 0.5% of GDP. Going forward, in FY24, it is anticipated that the fiscal deficit will decrease to 6.5% of GDP, accompanied by a primary deficit of 0.4% of GDP.

Exhibit: Mar'23: LSMI output down 9.1% MoM



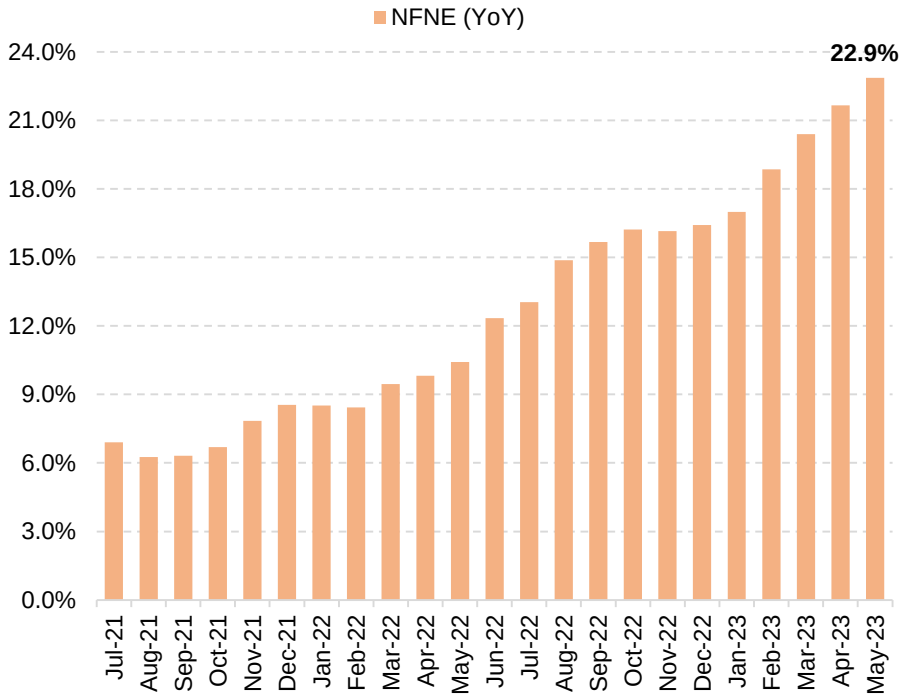
Source (s): PBS, AHL Research

Monetary Policy Statement

Status quo upheld

- Broad money growth has slowed down in May'23 compared to SPLY, given contraction in net foreign assets of the banking system.
- Moreover, lack of private sector borrowing was witnessed, which contracted 7.1% in Apr'23, substantially lower than 22.2% in Apr'22.
- In the month of April, there was a net retirement for the fourth straight, due to a reduction in demand for working capital and consumer loans in the wake of subdued economic activity and high borrowing costs. Although there was an uptick in credit for fixed investment in April, it was largely lower in cumulative terms during 10MFY23 compared to the same period last year.
- The national CPI increased to 38% in May'23, taking the average inflation to 29.2% during 11MFY23 compared to 11.3% SPLY with food contributing the most to the overall inflation. Prices of some essential non-perishable items increased quite notably in May, mainly because of domestic supply constraints.
- Albeit a slower pace, core inflation maintained its upward trend mainly signaling second-round impact of higher food and energy prices, also exchange rate depreciation amid elevated inflation expectations.
- From Jun'23 onward, the MPC anticipates that lower demand-side pressures, easing inflation expectations, moderating global commodity prices, and a high base effect will all contribute to lower inflation.
- In order to anchor expectations of elevated inflation, the MPC views that the current stance remains "appropriate to keep the real interest rate in positive territory on a forward-looking basis" and to bring inflation down to the medium-term target range of 5-7% by the end of FY25.

Exhibit: NFNE



Source (s): PBS, AHL Research

Monetary Policy Statement
Analyst Briefing Takeaways

- The State Bank of Pakistan stated that, at present, there are no intentions for debt restructuring, whether it pertains to external or domestic debt.
- The State Bank of Pakistan addressed concerns regarding external funding and repayments by providing an update on the current month (June 2023). They reported that the total amount repayable was USD 3.6bn, out of which USD 400mn has already been repaid. Of the remaining balance of USD 3.2bn, USD 2.3bn will be rolled over, leaving an outstanding amount of USD 900mn to be paid.
- The projected external debt repayment for the upcoming fiscal year (FY24) is approximately USD 23bn. This amount is expected to be spread out evenly with repayments due divided into nearly equal portions in each quarter of the fiscal year.
- The Governor communicated that the expected SBP profit to be transferred to government, after accounting for reserves, is anticipated to reach PKR 1trn in FY24.
- SBP anticipates that the Current Account Deficit (CAD) will stay below USD 4bn in FY23, expected to clock-in at around USD 3.5bn. Moreover, CAD is likely to remain below USD 4bn in FY24 as well.
- The Governor updating on the RDA stated that the total gross amount transferred through the RDA has reached USD 6.1bn. Out of this, USD 3.6bn has been converted into PKR and consumed locally. Additionally, USD 1.4bn has been repatriated abroad. Consequently, the remaining net repatriable amount stands at USD 1.1bn.

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Arif Habib Limited (AHL) uses three rating categories, depending upon return form current market price, with Target period as Dec 2023 for Target Price. In addition, return excludes all type of taxes. For more details, kindly refer the following table;

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Equity Valuation Methodology

AHL Research uses the following valuation technique(s) to arrive at the period end target prices;

- Discounted Cash Flow (DCF)
- Dividend Discount Model (DDM)
- Sum of the Parts (SoTP)
- Justified Price to Book (JPTB)
- Reserved Base Valuation (RBV)

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- Market risk
- Interest Rate Risk
- Exchange Rate (Currency) Risk

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